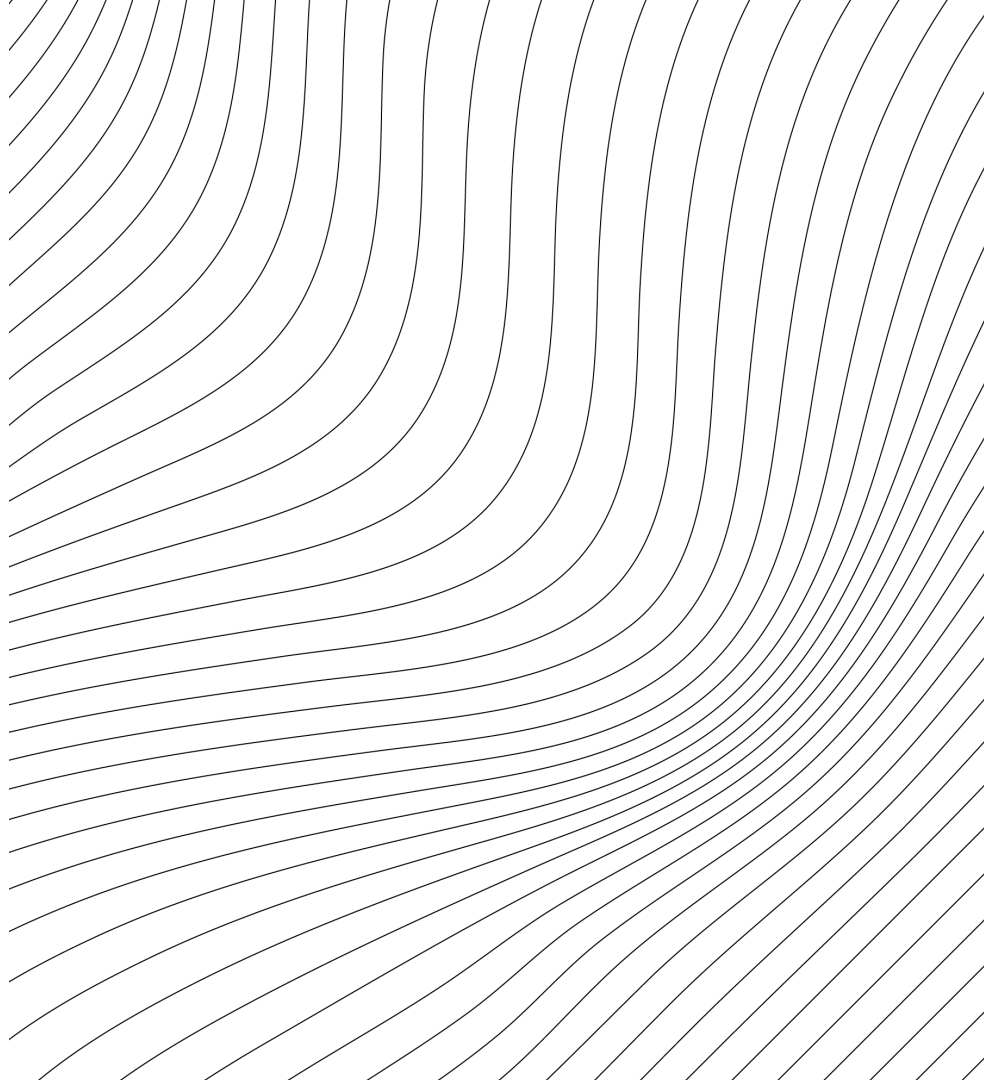


Q3 2024

Investor Presentation

investors.block.xyz



Forward-looking Statements

This presentation contains forward-looking statements within the meaning of Section 27A of the Securities Act of 1933, as amended, and Section 21E of the Securities Exchange Act of 1934, as amended. Forward-looking statements can be identified by words such as “anticipate,” “believe,” “estimate,” “expect,” “goal,” “intend,” “likely,” “may,” “plan,” “project,” “seek,” “should,” “strategy,” “will,” and similar expressions. All statements other than statements of historical fact could be deemed forward looking, including, but not limited to, statements regarding our future performance and our market opportunity. These forward-looking statements are based on our management’s current beliefs, expectations, and assumptions regarding future events and are therefore subject to a number of known and unknown risks, uncertainties, assumptions, and other factors that may cause actual results, performance, or achievements to differ materially from results expressed or implied in this presentation. Investors are cautioned not to place undue reliance on these statements. Among the factors that could cause actual results to differ materially from those indicated in the forward-looking statements are risks and uncertainties described from time to time in the Company’s filings with the Securities and Exchange Commission. All forward-looking statements are based on information and estimates available to the Company at the time of this presentation and are not guarantees of future performance. Except as required by law, we assume no obligation to update any of these forward-looking statements.

Non-GAAP Financial Measures

To supplement our financial information presented in accordance with generally accepted accounting principles in the United States (“GAAP”), we consider and present certain non-GAAP financial measures. These non-GAAP measures are presented in addition to, and not as a substitute for or superior to, measures of financial performance presented in accordance with GAAP. The non-GAAP measures used by the Company may differ from the non-GAAP measures used by other companies. Information regarding our non-GAAP financial measures, including between these non-GAAP measures and the related GAAP measures, are included in the Appendix to this presentation.



Q3 Key Messages

- **Strong Q3 results** as we delivered gross profit growth of 19% year over year, and year-over-year improvement across all profitability measures in Q3
- **Improving Square GPV trends into Q4** with an improvement in U.S. GPV growth year-over-year in October. We expect U.S. and Global GPV growth to improve modestly in the fourth quarter compared to the third quarter, and accelerate from these levels in 2025
- **Key product launches** including Orders Platform in Q3, enabling Pre-Auth and Bar Tabs for Square sellers
- **Accelerated partnership strategy** for Square, signing several new partners across markets
- **Growing engagement on Cash App** with gross profit per active of \$75 in Q3 on an annualized basis, up 16% year-over-year
- **Momentum on Cash App's Bank our Base strategy** with inflows per active up 9% year over year, and quarter-over-quarter growth in paycheck deposit actives
- **Increased 2024 guidance** on Adjusted EBITDA and Adjusted Operating Income and remain committed to achieving Rule of 40 in 2026

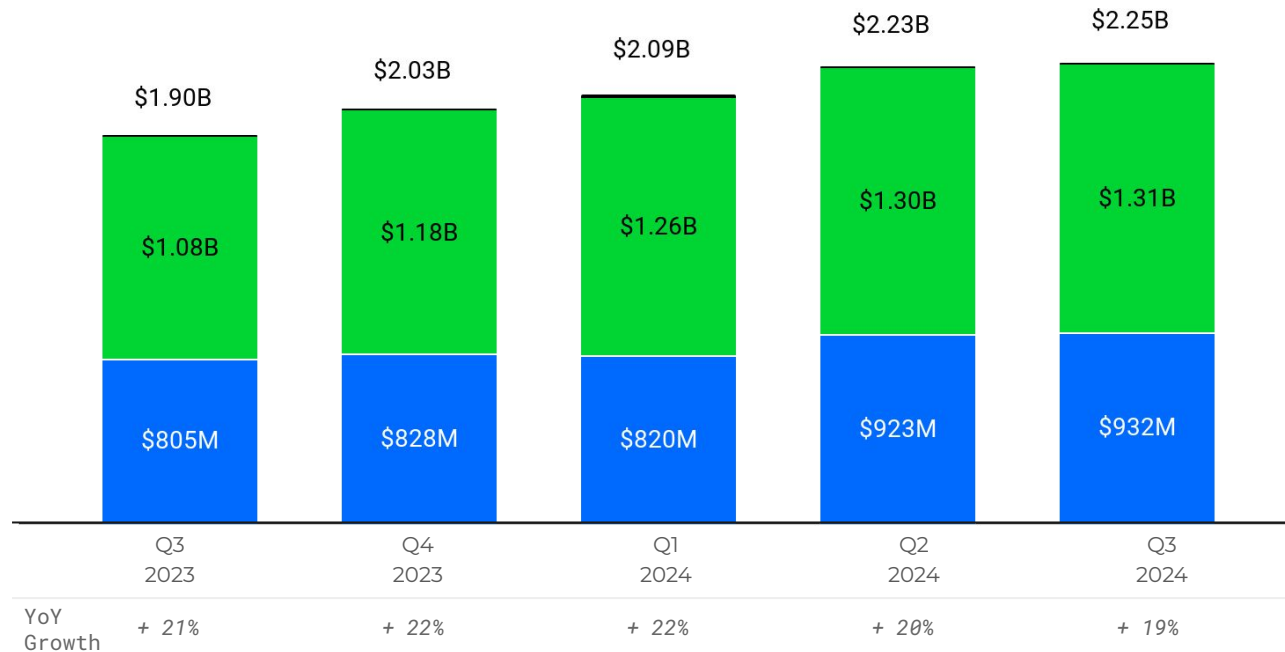


Growth at scale

Strong year over year gross profit growth

Gross Profit

■ Corporate & Other ■ Cash App ■ Square

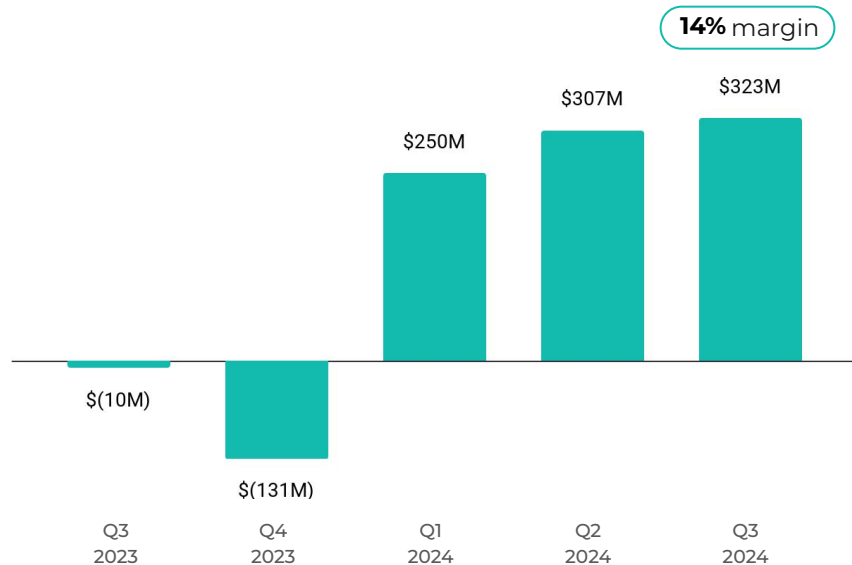


Please see the appendix for a definition of Corporate & Other gross profit. In the fourth quarter of 2023, we began reporting the financial results of our BNPL platform fully within Cash App, rather than allocating 50% of revenue and gross profit to each of Square and Cash App. The prior period segment financial information in this presentation has been revised to conform to the updated segment reporting.



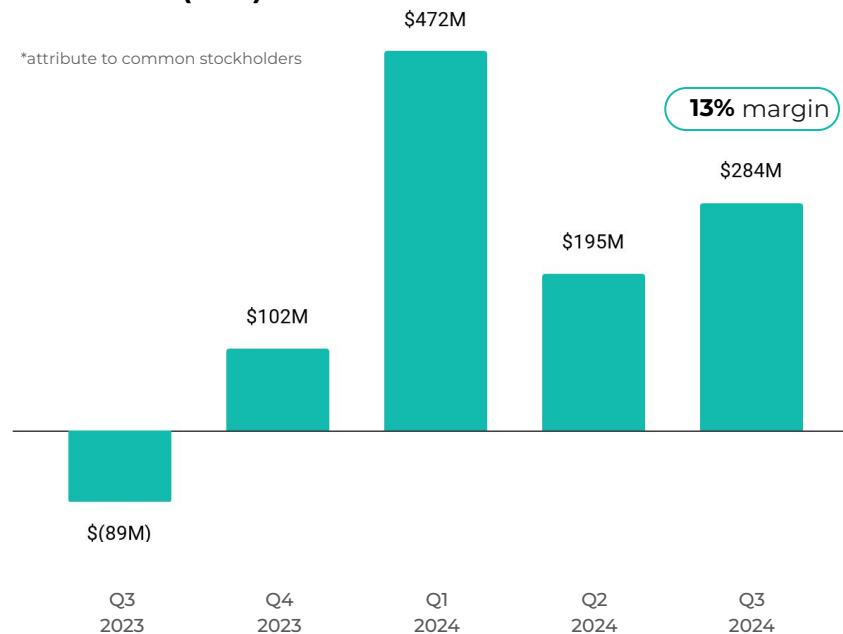
Focus on improving profitability

Operating income (Loss)



Net income (Loss)*

*attribute to common stockholders



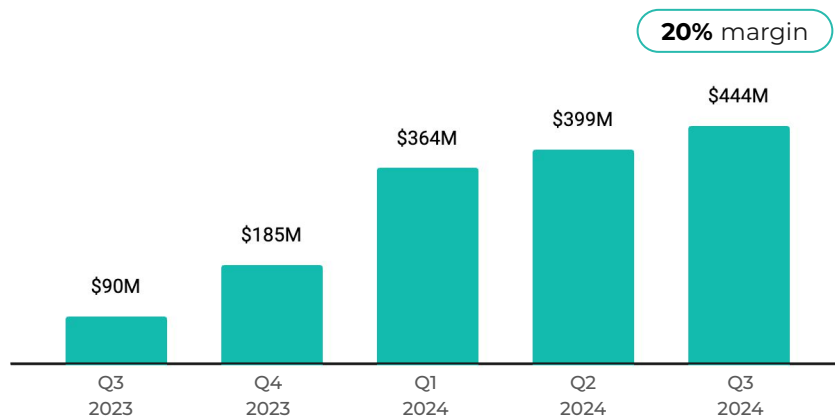
Margins above are all calculated as a percent of gross profit. The quarterly net income results reported here reflect the impact of ASU No. 2023-08, Accounting for and Disclosure of Crypto Assets ("ASU 2023-08"), which we early adopted in the fourth quarter of 2023 using the modified retrospective approach. In the third quarter of 2024, net income included a remeasurement gain on our bitcoin investment of \$5 million.



Focus on improving profitability

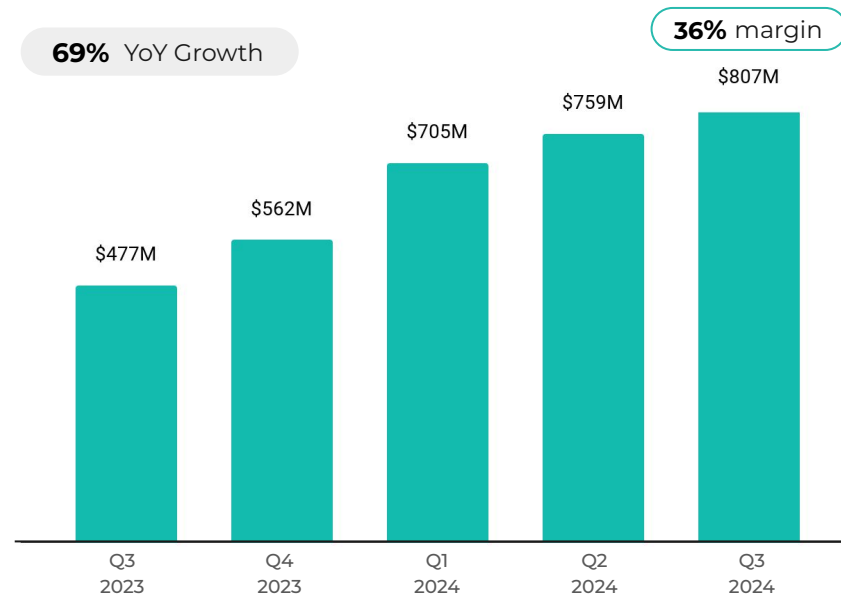
Adjusted Operating Income (Loss)

~5x YoY Growth



Adjusted EBITDA

69% YoY Growth



Margins above are all calculated as a percent of gross profit. Reconciliations of non-GAAP financial measures used in this presentation to their nearest GAAP equivalents are provided at the end of this presentation. Please see these reconciliations for a description of certain items that affected operating income (loss) and net income (loss) in the third quarter of 2024.



Block Financial Objectives

- **Drive consistent growth while ensuring profitability:** pursuing balance between delivering consistent growth without sacrificing profitability, setting the foundation for long-term success
- **Maximize gross profit:** committed to delivering positive gross profit retention across each ecosystem, reinforcing the value of our integrated, diversified portfolio
- **Achieve Rule of 40 in 2026:** targeting this benchmark in 2026, with plans to balance growth and profitability long-term¹
- **Create value for shareholders:** focusing on enhancing shareholder returns through a disciplined capital return strategy, amplifying the long-term value of our business

¹ Rule of 40 is the sum of our gross profit growth and Adjusted Operating Income margin as a percent of gross profit. Adjusted Operating Income (Loss) is a non-GAAP financial measure that represents our operating income (loss), adjusted to eliminate the effect of amortization of acquired technology assets; acquisition-related and integration costs; contingencies, restructuring and other charges; goodwill impairment; amortization of customer and other acquired intangible assets; and acquisition-related share-based acceleration costs.



Cash App



Bank our Base strategy

Cash App aims to become one of the top providers of financial services to households in the U.S. which earn up to \$150k per year

- Expand access by launching best-in-class financial services and commerce products
- Earn customer trust by focusing on reliability, security, and support
- Drive awareness of our financial services offerings and benefits
- Launch the next generation of spending tools

Increase gross profit per active

Drive paycheck deposit adoption

Pillars of our strategy

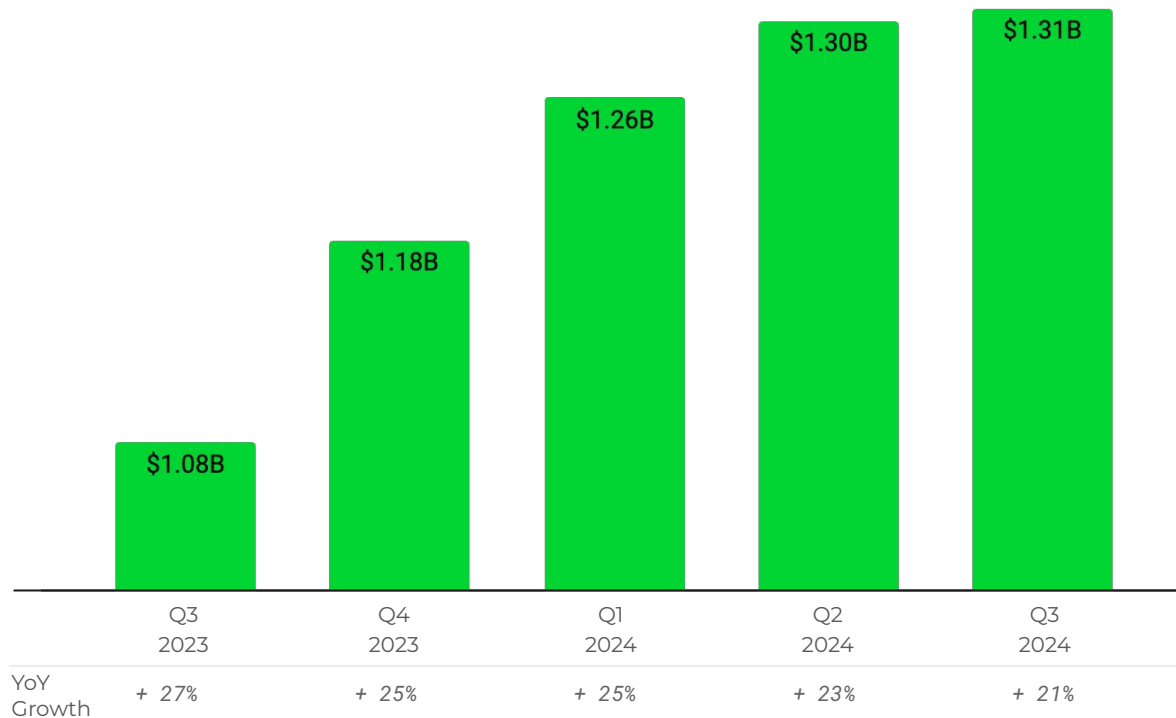
How we measure success



Continued strong growth at scale

Gross profit growth of 21% year over year driven by strong performance across Cash App Card, Cash App Borrow and our BNPL platform

Cash App Gross Profit



Cash App Key Performance Metrics

	Q3 2023	Q4 2023	Q1 2024	Q2 2024	Q3 2024
INFLOWS FRAMEWORK					
Monthly Transacting Actives	55M	56M	57M	57M	57M
Inflows per Transacting Active	\$1,132	\$1,137	\$1,255	\$1,243	\$1,233
Monetization Rate	1.43%	1.48%	1.48%	1.53%	1.52%
OPERATING METRICS					
Gross Profit per Monthly Transacting Active	\$65	\$68	\$74	\$76	\$75
Cash App Card Monthly Transacting Actives	22M	23M	24M	24M	24M

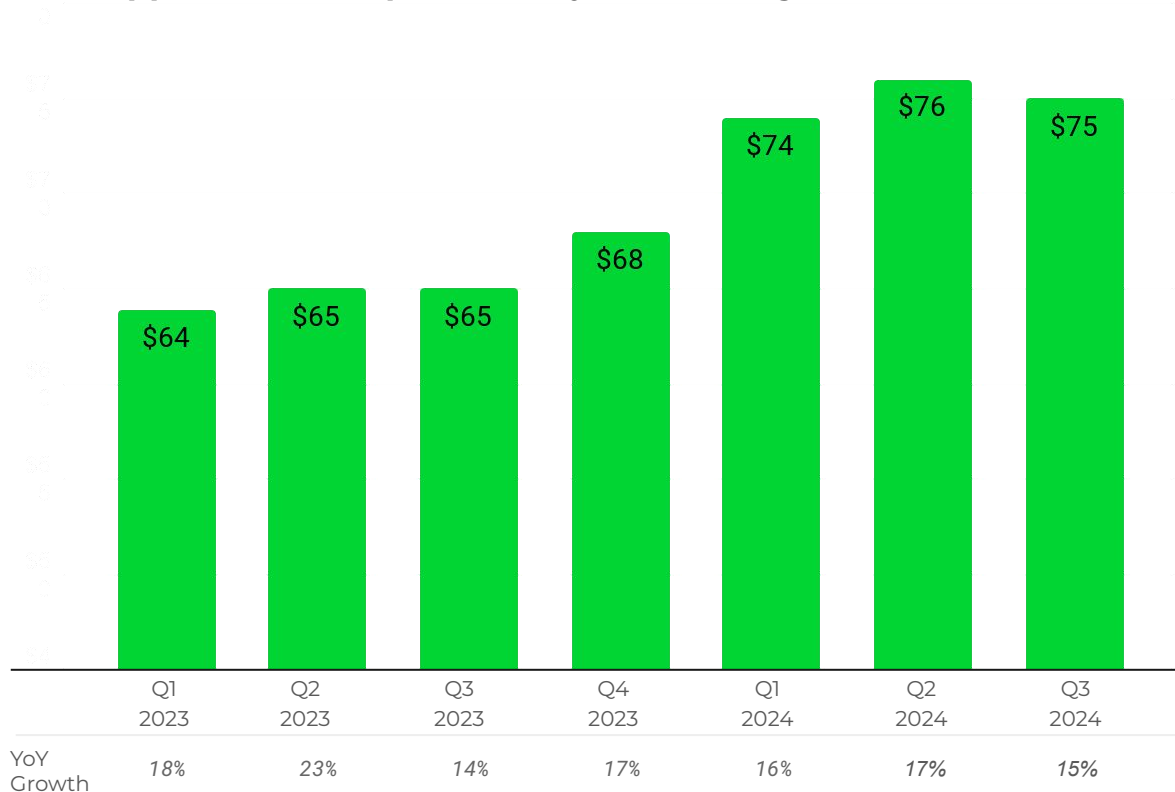
Please see the appendix for definitions of monthly transacting active, inflows per active, monetization rate and gross profit per monthly transacting active.



Driving greater engagement and monetization

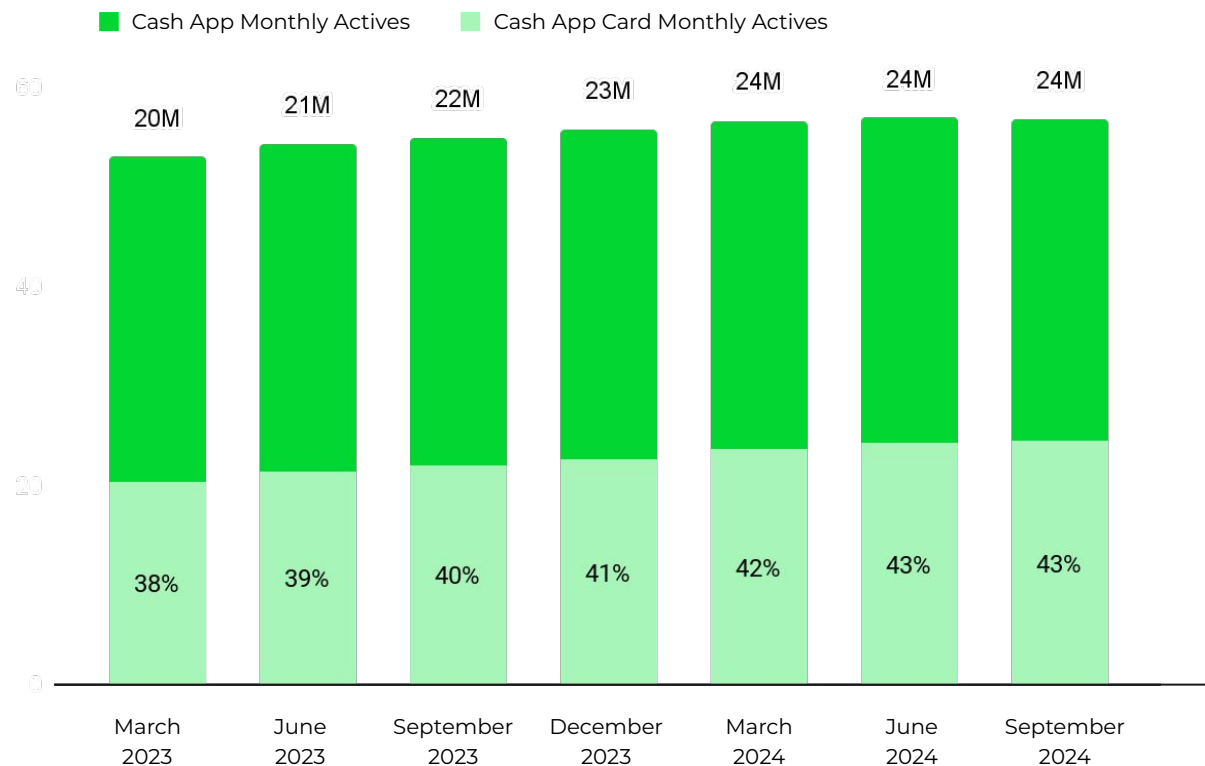
Gross profit per monthly transacting active growth of 15% year over year in Q3

Cash App Gross Profit per Monthly Transacting Active Growth



Cash App Card actives growth

Cash App Card monthly actives
have grown as a % of overall
Cash App actives over time



Square



Strategic priorities

Improve Square GPV growth through new product launches and go-to-market initiatives

- Building a rock solid and flexible platform
- Providing a local experience to sellers of all sizes
- Growing with artificial intelligence
- Finding more ways for our customers to bank with Square

Drive acquisition of new sellers

Increase retention of existing sellers

Pillars of our strategy

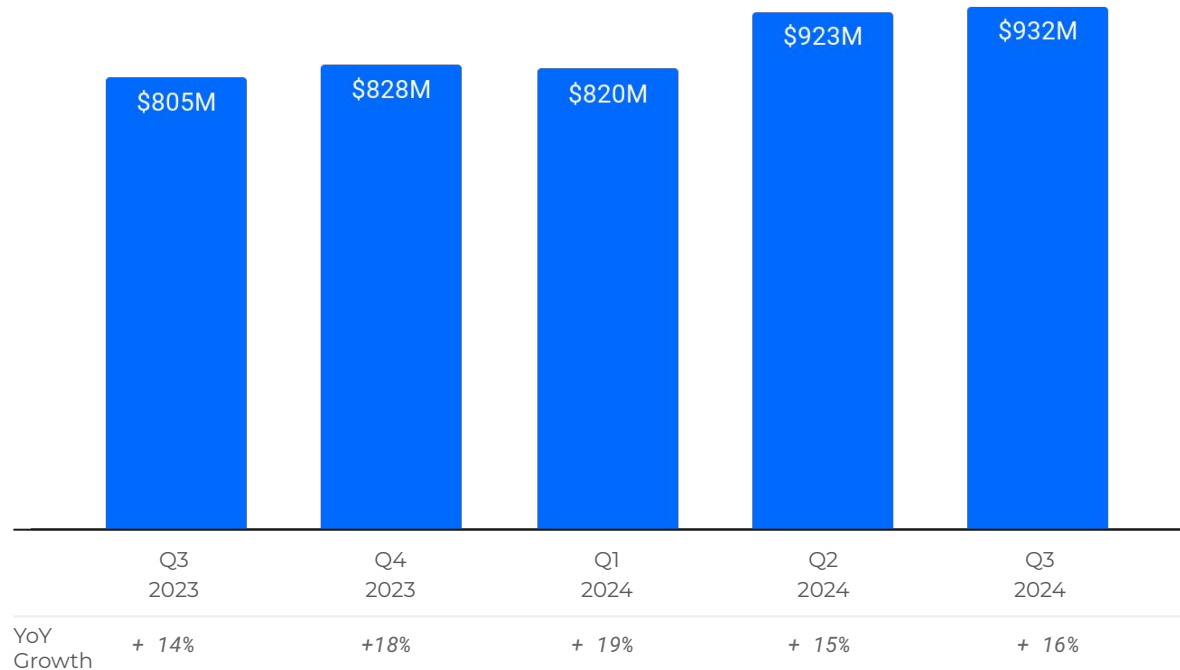
How we measure success



Continued strong growth at scale

Gross profit growth of 16% year over year driven by strength in our software and integrated payments and banking products

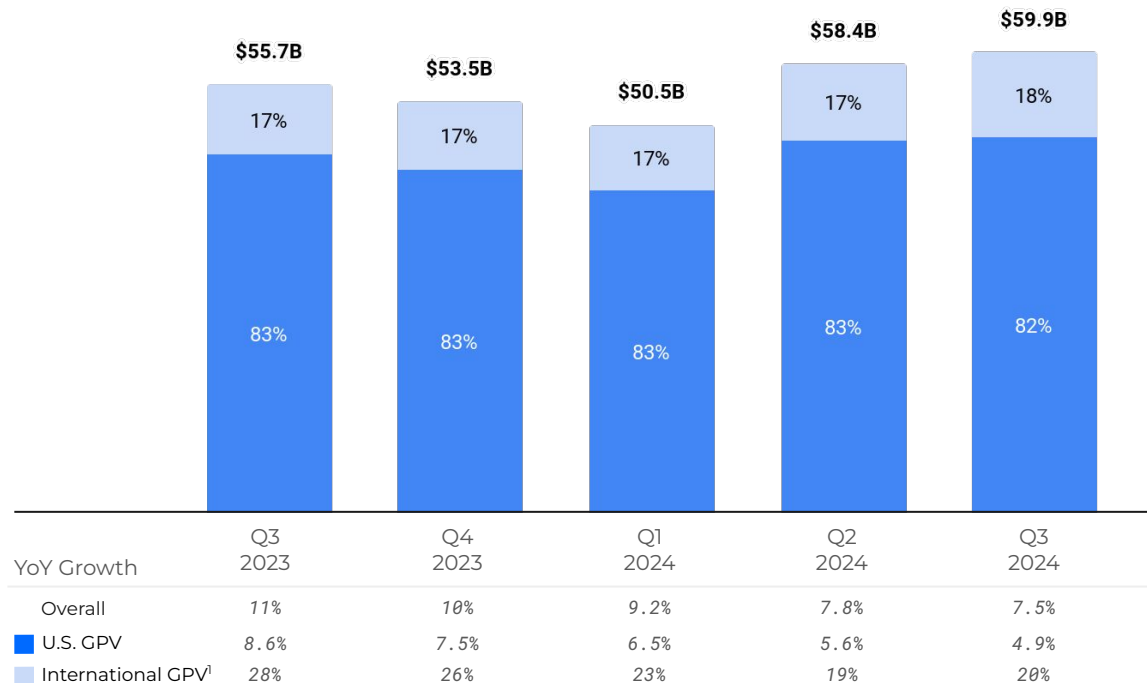
Square Gross Profit



Showing growth and diversity of geographies

Square GPV by Geography

■ U.S. GPV ■ International GPV



Square GPV is defined as the total dollar amount of all card payments processed by sellers using Square, net of refunds, and ACH transfers.

¹ International GPV is shown on a reported basis.



Guidance



2024 Full Year Guidance

For the full year, we expect gross profit of at least \$8.89 billion, or 18% growth year over year. We are raising our full-year outlook for profitability to reflect outperformance in the third quarter. For Adjusted Operating Income, we expect at least \$1.56 billion, or 18% margin for the full year

2024 Outlook	Current 2024	Previous 2024
Gross profit	\$8.89 billion	\$8.89 billion
<i>YoY growth</i>	18%	18%
Adjusted EBITDA	\$3.00 billion	\$2.90 billion
<i>% Margin</i>	34%	33%
Adjusted Operating Income	\$1.56 billion	\$1.44 billion
<i>% Margin</i>	18%	16%
Rule of 40	36%	35%

We have not provided the forward-looking GAAP equivalents for certain forward-looking non-GAAP metrics, including Adjusted EBITDA margin, and Adjusted Operating Income margin, or GAAP reconciliations of any of the aforementioned, as a result of the uncertainty regarding, and the potential variability of, reconciling items such as share-based compensation expense. Accordingly, the Company has relied upon the exception in item 10(e)(1)(i)(B) of Regulation S-K to exclude such reconciliations, as the reconciliations of these non-GAAP guidance metrics to their corresponding GAAP equivalents are not available without unreasonable effort. However, it is important to note that material changes to reconciling items could have a significant effect on future GAAP results.



Q4 2024 Guidance

In the fourth quarter of 2024, we expect to deliver \$2.31 billion of gross profit and \$355 million of Adjusted Operating Income

Q4 2024	
Gross profit	\$2.31 billion
<i>YoY growth</i>	14%
Adjusted EBITDA	\$725 million
<i>% Margin</i>	31%
Adjusted Operating Income	\$355 million
<i>% Margin</i>	15%

We have not provided the forward-looking GAAP equivalents for certain forward-looking non-GAAP metrics, including Adjusted EBITDA margin, and Adjusted Operating Income margin, or GAAP reconciliations of any of the aforementioned, as a result of the uncertainty regarding, and the potential variability of, reconciling items such as share-based compensation expense. Accordingly, the Company has relied upon the exception in item 10(e)(1)(i)(B) of Regulation S-K to exclude such reconciliations, as the reconciliations of these non-GAAP guidance metrics to their corresponding GAAP equivalents are not available without unreasonable effort. However, it is important to note that material changes to reconciling items could have a significant effect on future GAAP results.



Appendix



Appendix

Slide 4

Corporate & Other includes primarily emerging initiatives and intersegment eliminations. In the fourth quarter of 2023, we began reporting the financial results of our BNPL platform fully within Cash App, rather than allocating 50% of revenue and gross profit to each of Square and Cash App. The prior period segment financial information in this presentation has been revised to conform to the updated segment reporting.

Slide 11 & 12

“A transacting active” is a Cash App account that has at least one financial transaction using any product or service within Cash App during a specified period. A transacting active for a specific Cash App product has at least one financial transaction using that product during the specified period and is referred to as an active. Examples of transactions include sending or receiving a peer-to-peer payment, transferring money into or out of Cash App, making a purchase using Cash App Card, earning a dividend on a stock investment, and paying back a loan, among others. Certain of these accounts may share an alias identifier with one or more other transacting active accounts. This could represent, among other things, one customer with multiple accounts or multiple customers sharing one alias identifier (for example, families).

“Gross profit per transacting active” is calculated based on Cash App annualized gross profit excluding our BNPL platform during a given quarter divided by the monthly transacting active customers for the last month of the quarter. Gross profit for our BNPL platform was \$242 million or \$968 million on an annualized basis for the third quarter of 2024.

“Inflows per transacting active” refers to total inflows in the quarter divided by monthly actives for the last month of the quarter. Inflows refers to funds entering the Cash App ecosystem. Inflows does not include the movement of funds when funds remain in the Cash App ecosystem or when funds leave the Cash App ecosystem, or inflows related to the Afterpay or Verse apps. Inflows from Verse actives were not material to overall inflows.

We calculate **“monetization rate”** by dividing Cash App gross profit, excluding contributions from our BNPL platform, by Cash App inflows.



Reconciliations (unaudited)

Adjusted Operating
Income (in thousands)

	NINE MONTHS ENDED	
	Sept. 30, 2024	Sept. 30, 2023
Operating income (loss)	\$ 879,314	\$ (148,187)
Amortization of acquired technology assets	52,802	54,780
Acquisition-related and integration costs	48,470	6,304
Contingencies, restructuring and other charges	99,561	122,408
Restructuring share-based compensation	6,637	—
Amortization of customer and other acquired intangible assets	120,116	130,917
Adjusted Operating Income	\$ 1,206,900	\$ 166,222
Adjusted Operating Income margin (%) of gross profit	18 %	3 %



Reconciliations (unaudited)

Adjusted EBITDA (in thousands)

	Sept. 30, 2024	THREE MONTHS ENDED			
		Sept. 30, 2023	Dec. 31, 2023	Mar. 31, 2024	June 30, 2024
Net income (loss) attributable to common stockholders	\$ 283,754	\$ (88,738)	\$ 102,236	\$ 472,005	\$ 195,268
Net loss attributable to noncontrolling interests	(2,618)	(4,806)	(20,266)	(1,185)	(5,396)
Net income (loss)	281,136	(93,544)	81,970	470,820	189,872
Share-based compensation expense	324,055	345,690	331,568	304,531	320,368
Restructuring share-based compensation expense	—	—	—	6,637	—
Depreciation and amortization	92,706	115,518	105,324	97,640	96,903
Acquisition-related and integration costs	608	3,391	5,118	32,512	15,350
Contingencies, restructuring and other charges	66,694	21,421	117,174	14,063	18,804
Goodwill impairment	—	—	132,313	—	—
Interest expense (income), net	13,811	(21,415)	(18,701)	(18,745)	(1,871)
Other expense (income), net (i)	(14,949)	23,912	(134,035)	(237,824)	59,532
Provision (benefit) for income taxes	43,011	81,139	(59,886)	35,492	59,029
Loss (gain) on disposal of property and equipment	384	1,355	1,297	(71)	1,471
Acquired deferred revenue and cost adjustment	16	21	21	19	18
Adjusted EBITDA	\$ 807,472	\$ 477,488	\$ 562,163	\$ 705,074	\$ 759,476



Reconciliations (unaudited)

Key Metric Margins (in thousands)

	THREE MONTHS ENDED
	Sept. 30, 2024
Gross profit	\$ 2,249,685
Gross profit change (%) YoY	19 %
Operating income	323,009
Operating income margin (%) of gross profit	14 %
Net income attributable to common stockholders	283,754
Net income margin (%) of gross profit	13 %
Adjusted Operating Income	443,518
Adjusted Operating Income margin (%) of gross profit	20 %
Adjusted EBITDA	807,472
Adjusted EBITDA margin (%) of gross profit	36 %

